

regular head-and-shoulders top and then expand your view to include additional shoulders.

In this example, the head pokes above the surrounding shoulders. The two shoulders are usually equidistant, or nearly so, from the head. The price level of the left and right shoulders is nearly the same. Thus, the symmetry of a complex top is more pronounced than that of a regular head-and-shoulders top.

Table 42.1 Identification Guidelines

Characteristic	Discussion
Appearance	A head-and-shoulders top with multiple shoulders or, more rarely, two heads. The head is higher than the shoulders but generally not by very much.
Symmetry	The tendency for the shoulders to mirror themselves about the head is strong. The price level of the shoulders and time from the shoulder to head is about the same on either side of the head. The shoulders also appear to be the same shape: Narrow or wide shoulders on the left mirror those on the right.
Volume	Usually higher on the left side than on the right and usually seen when comparing the shoulders on the left with corresponding ones on the right. Overall, the volume trend recedes.
Neckline	Connects the lowest left shoulder valley with the lowest right shoulder valley. A close below the neckline signals a downward breakout.
Breakout direction	The breakout is always downward. For those cases with a steep, down-sloping neckline, use the lowest armpit on the right of the head as the breakout price.
Confirmation	The pattern confirms after a downward breakout. If price doesn't breakout downward, then you don't have a complex head-and-shoulders top.